with new relaxations on business correspondents shortly. Also, some of the entities that become payments banks may be very well suited to support or substitute commercial banks in reaching remote areas.

In sum, then, we can increase competition in the banking sector while, at the same time, strengthening banks by reducing the burden of obligations on them. In this way, they will be able to contribute to sustainable growth even after the breakdown of the first grand bargain.

FREEING PUBLIC SECTOR BANKS TO COMPETE

Let us turn next to the public sector banks. There are well-managed public sector banks across the world, and even in India today. So privatization is not necessary to improve the competitiveness of the public sector. But a change in governance, management, and operational and compensation flexibility are almost surely needed in India to improve the functioning of most PSBs, as the Dr P.J. Nayak Committee has just reiterated.

A number of eminently practicable suggestions have been made to reform PSBs, such as creating a holding company to hold government PSB shares, increasing the length of PSB CEO tenures, breaking up the position of Chairman and CEO, bringing more independent professionals on bank boards and empowering boards with the task of selecting the CEO, becoming more selective in cases that are followed up for vigilance investigations…

We need to examine all these ideas carefully, many of which will help give public sector banks the flexibility to compete in the new environment. Let us remember that what is at stake is not just the tremendous amount of national value that is represented by public sector banks but future financing and investment in our economy.

If public sector banks become competitive, and especially if they do so by distancing themselves from the influence of the government